Los Angeles World Airports

REPORT TO THE BOARD OF AIRPORT COMMISSIONERS

Item 14

Ramon Olivares

Approved by: Ramon Olivares - Director, Property Services

Reviewed by: Jeffrey Utterback, Deputy Executive Director, Commercial Development

City Attorney

Justin Erbacci, Chief Executive Officer

Meeting Date: 11/19/2020

CAO Review: ☐ Completed ☐ Pending ☒ N/A

Reviewed for	Date	Approval Status	By
Finance	10/23/2020	☒Y ☐ N ☐ NA	CI
CEQA	10/22/2020	☒Y ☐ N	VW
Procurement	10/21/2020	☒Y ☐N ☐ Cond	QM
Guest Experience	10/21/2020	☒Y ☐N	TB
Strategic Planning	10/22/2020	☐Y ☐ N ☒ NA	KC

SUBJECT: Approval of Adjusted Rental Rates for Fixed Base Operators at Los Angeles International Airport

Approve the proposed adjusted rental rates for Fixed Base Operator facilities for: (1) Atlantic Aviation - Los Angeles, Inc., Lease No. LAA-8190, located at 6411 West Imperial Highway; and (2) Signature Flight Support Corporation, Lease No. LAA-8995, located at 6201 West Imperial Highway, at Los Angeles International Airport.

RECOMMENDATIONS:

Management RECOMMENDS that the Board of Airport Commissioners:

1. ADOPT the Staff Report.

2. DETERMINE that this action is categorically exempt from the California Environmental Quality Act (CEQA) pursuant to Article III, Class 1 (31) of the Los Angeles City CEQA Guidelines.

3. APPROVE the proposed adjusted rental rates for (1) Atlantic Aviation - Los Angeles, Inc. and (2) Signature Flight Support Corporation, as referenced in this report.

4. AUTHORIZE the Chief Executive Officer to apply the rental rates for Fixed Base Operators as discussed in this report.

DISCUSSION

1. Purpose

To establish adjusted rental rates for Fixed Base Operator facilities at Los Angeles International Airport (LAX), pursuant to Los Angeles City Charter requirements.

2. Prior Related Actions

October 20, 2003 – Board Order No. AO-4890 (Lease No. LAA-8190)
The Board of Airport Commissioners (Board) approved a 30-year Lease with Mercury Air Group, Inc. (Mercury) to develop a Fixed Base Operator facility at LAX.

April 23, 2014 – Resolution No. 25348 (Lease No. LAA-8190A)
The Board approved a First Amendment to Lease No. LAA-8190 with Mercury, dba Atlantic Aviation (Atlantic), which included the adoption and execution of the Director's LAX Plan Compliance Report and approval of the five-year periodic land rental rate.

January 18, 2018 – Resolution No. 26414 (Lease No. LAA-8995)
The Board approved a one-year Lease (with two six-month options) with Signature Flight Support Corporation (Signature) for a Fixed Base Operator facility at LAX.

3. Current Action

In accordance with Los Angeles City Charter Section 607(b), Los Angeles City assets under lease are subject to a review for periodic compensation adjustments at no greater than five-year intervals. This requirement is included in all Los Angeles World Airport (LAWA) leases. Pursuant to this requirement, staff proposes an adjustment to the land rental rate for the two LAX Fixed Base Operators, Signature and Atlantic, and to the building rate for Signature for the July 1, 2019 – June 30, 2024 five-year adjustment period. A building rate adjustment for Atlantic is not necessary as Atlantic still owns all leasehold improvements.

The proposed rental rates are based on a market analysis of rental rates for comparable facilities, as well as on an independent appraisal prepared by a LAWA-contracted firm. Both Signature and Atlantic have agreed to the proposed rates.

The tables below provide a summary of the proposed land and building rental rates:

PROPOSED LAND RATE *(effective January 1, 2020)*			
Atlantic			
Lease Area 666,502.84 SF (15.308 acres)		**Monthly**	**Annual**
Current Land Rate	$3.362 PSFPY	$186,731.88	$2,240,782.55
Proposed Land Rate	$4.50 PSFPY	$249,938.57	$2,999,262.78

PROPOSED LAND RATE *(effective January 1, 2020)*			
Signature			
Lease Area 527,795 SF (12.117 acres)		**Monthly**	**Annual**
Current Land Rate	$3.61 PSFPY	$158,778.33	$1,905,339.95
Proposed Land Rate	$4.50 PSFPY	$197,923.13	$2,375,077.50

PROPOSED SIGNATURE BUILDING RATE *(effective July 1, 2019)*			
Lease Area 128,400 SF		**Monthly**	**Annual**
Current Building Rate	$8.73 PSFPY	$93,411.00	$1,120,932.00
Proposed Building Rate	$14.40 PSFPY	$154,080.00	$1,848,960.00

Action Requested

Staff requests the Board approve the proposed rental rate adjustments and authorize the Chief Executive Officer to adjust the rates for the Signature and Atlantic Leases as discussed in this report.

Fiscal Impact

Approval of this item will result in projected revenue from (1) Atlantic of $2,999,262 per year; and, (2) Signature of $4,224,037 per year, for total projected revenue to LAWA of $7,223,300 per year, exclusive of annual adjustments, an increase of $1,956,246 per year.

4. Alternatives Considered

- ***Take No Action***
  This is not a viable option since Los Angeles City Charter Section 607(b) and the Atlantic and Signature Leases require periodic adjustments to the rates.

APPROPRIATIONS:

Approval of this action will not require an appropriation of funds.

STANDARD PROVISIONS:

1. Establishment or modification of any rate, fee or charge for the use of existing municipal facilities and services involving negligible or no expansion of use is categorically exempt from California Environmental Quality Act (CEQA) requirements pursuant to Article III, Class 1 (31) of the Los Angeles City CEQA Guidelines.

2. This proposed document(s) is/are subject to approval as to form by the City Attorney.

3. Actions taken on this item by the Board of Airport Commissioners will become final pursuant to the provisions of Los Angeles City Charter Section 245.

4. Signature Flight Support Corporation and Atlantic Aviation, Fixed Base Operator Inc., will comply with the provisions of the Living Wage/Worker Retention Ordinances.

5. The Small Business Enterprise Program does not apply to Leases.

6. Signature Flight Support Corporation and Atlantic Aviation, Fixed Base Operator Inc., will comply with the provisions of the Affirmative Action Program.

7. Signature Flight Support Corporation and Atlantic Aviation, Fixed Base Operator Inc. have been assigned Business Tax Registration Certificate numbers 0003091345-0001-9 and 0000659226-0001-0 respectively.

8. Signature Flight Support Corporation and Atlantic Aviation Fixed Base Operator , Inc. will comply with the provisions of the Child Support Obligations Ordinance.

9. Signature Flight Support Corporation and Atlantic Aviation Fixed Base Operator , Inc. have approved insurance documents, in the terms and amounts required, on file with the Los Angeles World Airports.

10. This action is not subject to the provisions of City Charter Section 1022 (Use of Independent Contractors).

11. Signature Flight Support Corporation and Atlantic Aviation Fixed Base Operator , Inc. submitted the Contractor Responsibility Program Pledge of Compliance and comply with the provisions of the Contractor Responsibility Program.

12. Signature Flight Support Corporation and Atlantic Aviation Fixed Base Operator , Inc. must be determined by Public Works, Office of Contract Compliance, to be in compliance with the provisions of the Equal Benefits Ordinance prior to execution of the Lease Agreement.

13. Signature Flight Support Corporation and Atlantic Aviation Fixed Base Operator , Inc. will be required to comply with the provisions of the First Source Hiring Program for all non-trade LAX Airport jobs.
14. Signature Flight Support Corporation and Atlantic Aviation Fixed Base Operator , Inc. submitted the Bidder Contributions CEC Form 55 prior to execution of the Lease Agreement.

15. This action is not subject to the Iran Contracting Act of 2010.

Site Locations

